MERGER LAB · INVESTMENT COMMITTEE MEMORANDUM

Project Meridian

Hindalco Industries Limited / National Aluminium Company Limited · prepared 2026-07-05

PROCEED WITH CONDITIONS

RBI-compliant and financeable, but: negative value bridge (synergy PV < control premium); accretion is mechanical P/E arbitrage; MPS breach at the assumed open-offer acceptance.

+0.5%	100%	₹-2,905 Cr	+12.0%
YEAR-1 EPS IMPACT	P(ACCRETIVE BY Y2)	NET VALUE CREATED	OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	Hindalco Industries Limited (HINDALCO.NS)	Offer price	₹389.31
Target	National Aluminium Company Limited (NATIONALUM.NS)	Premium to undisturbed	+12.0%
Negotiated stake	51%	Consideration	100% cash / 0% stock
Equity purchase (negotiated)	₹36,466 Cr	Implied EV / EBITDA	7.9x
Open offer (at 100% acceptance)	₹18,590 Cr	Implied P / E	12.3x

Premium at the 100th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

2a · Sector precedents (3 most recent; ✓ = verified against SEBI/filing sources)

Announced	Acquirer → Target	Deal (₹ Cr)	Premium	Type	Provenance
2022-01-31	Tata Steel Long Products → Neelachal Ispat Nigam	₹12,100 Cr	n/a	cash	illustrative
2020-05-12	Vedanta Resources → Vedanta Ltd (delisting)	₹17,000 Cr	+9.9%	cash	illustrative
2019-03-18	JSW Steel → Bhushan Power & Steel	₹19,350 Cr	n/a	cash	✓ verified

Verified rows link to the SEBI letter of offer or exchange filing; premiums shown only where the open-offer price vs pre-announcement close is public. Blank premiums/multiples are honestly withheld, not estimated.

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2b · Standalone Valuation — intrinsic vs the offer

Valuation range (₹/share)

Where the target trades on its own economics — independent of the deal. The offer (red) sits against a DCF intrinsic range and listed-peer trading comps; gold tick = central estimate. Accretion is relative; this is the absolute check.

Discounted cash flow (unlevered FCFF)

Two-stage FCFF DCF values National Aluminium Company Limited at Rs 479/share (equity Rs 87,942 Cr), a range of Rs 415-572 across WACC 11-13%. 71% of value sits in the terminal year; +38% vs the Rs 348 market price.

Enterprise value	Equity value	Value / share	vs market	Terminal weight
₹79,301 Cr	₹87,942 Cr	₹479	+38%	71%

Assumptions: WACC 12.0%, revenue growth 8.0%, terminal growth 4.0%, EBITDA margin 44.5%, over 5 explicit years. Tunable drivers, not fitted.

Trading comps (listed peers)

Peer trading comps (n=5) imply Rs 469/share for National Aluminium Company Limited (range Rs 235-657) at median EV/EBITDA 9.7x, P/E 20.8x.

Peer	EV/EBITDA	EV/Sales	P/E
Tata Steel Limited	9.7x	1.4x	21.9x
JSW Steel Limited	12.0x	1.9x	13.5x
Jindal Steel Limited	12.8x	2.3x	31.8x
Steel Authority of India Limited	8.4x	0.9x	20.8x
NMDC Limited	7.6x	2.2x	10.1x
Median	**9.7x**	**1.9x**	**20.8x**

3 · Strategic Rationale

- Integrates low-cost bauxite/alumina capacity upstream of acquirer's smelting network
- Illustrative PSU-divestment structure: 51% block + mandatory 26% open offer
- Low-multiple target — earnings yield comfortably above after-tax debt cost under RBI 2026 financing

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4 · Regulatory Stack — RBI · SEBI SAST · CCI

4a · Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹36,466 Cr	₹36,466 Cr	₹36,466 Cr
Open offer consideration	₹0 Cr	₹9,295 Cr	₹18,590 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹547 Cr	₹686 Cr	₹826 Cr
Total uses	**₹37,013 Cr**	**₹46,448 Cr**	**₹55,882 Cr**
New acquirer stock	₹0 Cr	₹0 Cr	₹0 Cr
New bank debt	₹22,208 Cr	₹27,869 Cr	₹33,529 Cr
Balance-sheet cash	₹14,805 Cr	₹18,579 Cr	₹22,353 Cr
Total sources	**₹37,013 Cr**	**₹46,448 Cr**	**₹55,882 Cr**

4b · RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt <= 75% of acquisition value	60.9	<= 75%	**PASS**	New bank debt Rs 33,529 Cr funds 60.9% of the Rs 55,056 Cr acquisition value.
Acquirer equity contribution >= 25%	40.0	>= 25%	**PASS**	Stock + own cash contribute 40.0% of total funding of Rs 55,882 Cr.
Pro-forma consolidated D/E <= 3.0x	0.96	<= 3.0x	**PASS**	Combined debt Rs 132,754 Cr on pro-forma equity Rs 137,587 Cr = 0.96x.
Acquirer net worth >= Rs 500 Cr	137587.0	>= Rs 500 Cr	**PASS**	Acquirer net worth Rs 137,587 Cr.
3-year profitability track record	True	user-attested	**PASS**	Attested by user; verify against 3 years of audited financials.

> Optimal mix is constrained: binding constraint(s) — Acquirer cash on hand. Year-1 accretion at the constrained optimum is +0.67%. Optimal mix: 9% cash / 91% stock, 0% of cash needs debt-funded → Year-1 +0.7%.

4c · SEBI Takeover Code (SAST 2011)

Acquiring 51% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 389 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 51.0%.
- 50% acceptance: buy 23.88 Cr shares for Rs 9,295 Cr; post-offer holding 64.0%.
- 100% acceptance: buy 47.75 Cr shares for Rs 18,590 Cr; post-offer holding 77.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

Between 25% and 75%, up to 5% per FY may be acquired without triggering a fresh open offer (creeping acquisition route).

4d · CCI merger control

Deal value Rs 36,466 Cr exceeds the Rs 2,000 Cr deal-value threshold (2024 amendment) — CCI approval required; expect ~150-210 days outer timeline, Green Channel possible if no overlaps.

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5 · Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹13,461 Cr	223.62	₹60.20	₹59.88	**+0.52%**
Year 2	₹13,730 Cr	223.62	₹61.40	₹59.88	**+2.53%**
Year 3	₹13,820 Cr	223.62	₹61.80	₹59.88	**+3.20%**

Break-even synergies (Year 1): ₹294 Cr vs ₹480 Cr assumed run-rate.

Target earnings yield at offer 8.1% vs blended after-tax financing cost 5.6% -> heuristic says ACCRETIVE; engine Year-1 says ACCRETIVE.

Contribution analysis

Metric	Acquirer %	Target %
Revenue	93.9	6.1
EBITDA	81.8	18.2
Net income	69.8	30.2
Pro-forma ownership	100.0	0.0

Target shareholders receive 0% ownership while contributing 30% of combined earnings (-30 pts) — premium justification required.

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	120.0	240.0	360.0	480.0	600.0	720.0	840.0	960.0
2.0	+1.18	+1.52	+1.86	+2.19	+2.53	+2.86	+3.20	+3.53	+3.87
4.5	+0.64	+0.97	+1.31	+1.65	+1.98	+2.32	+2.65	+2.99	+3.32
7.0	+0.09	+0.43	+0.76	+1.10	+1.44	+1.77	+2.11	+2.44	+2.78
9.5	-0.45	-0.12	+0.22	+0.55	+0.89	+1.23	+1.56	+1.90	+2.23
12.0	-1.00	-0.66	-0.33	+0.01	+0.34	+0.68	+1.02	+1.35	+1.69
14.5	-1.54	-1.21	-0.87	-0.54	-0.20	+0.13	+0.47	+0.81	+1.14
17.0	-2.09	-1.75	-1.42	-1.08	-0.75	-0.41	-0.08	+0.26	+0.60
19.5	-2.63	-2.30	-1.96	-1.63	-1.29	-0.96	-0.62	-0.29	+0.05
22.0	-3.18	-2.84	-2.51	-2.17	-1.84	-1.50	-1.17	-0.83	-0.50

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	2.0	4.5	7.0	9.5	12.0	14.5	17.0	19.5	22.0
0	+0.75	+0.24	-0.26	-0.77	-1.26	-1.76	-2.25	-2.74	-3.22
10	+0.90	+0.39	-0.12	-0.62	-1.12	-1.62	-2.12	-2.61	-3.10
20	+1.06	+0.55	+0.04	-0.47	-0.98	-1.49	-1.99	-2.49	-2.98
30	+1.23	+0.71	+0.19	-0.32	-0.83	-1.34	-1.85	-2.35	-2.86
40	+1.40	+0.88	+0.35	-0.16	-0.68	-1.19	-1.71	-2.22	-2.72
50	+1.57	+1.05	+0.52	-0.00	-0.52	-1.04	-1.56	-2.08	-2.59
60	+1.75	+1.22	+0.69	+0.17	-0.36	-0.88	-1.41	-1.93	-2.45
70	+1.94	+1.40	+0.87	+0.34	-0.19	-0.72	-1.25	-1.78	-2.30

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90	+2.32	+1.78	+1.24	+0.70	+0.16	-0.38	-0.92	-1.46	-2.00
100	+2.53	+1.98	+1.44	+0.89	+0.34	-0.20	-0.75	-1.29	-1.84

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5.5 · Value Creation Assessment

Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹2,993 Cr
Control premium paid	(₹5,899 Cr)
Net value created / (destroyed)	**₹-2,905 Cr**

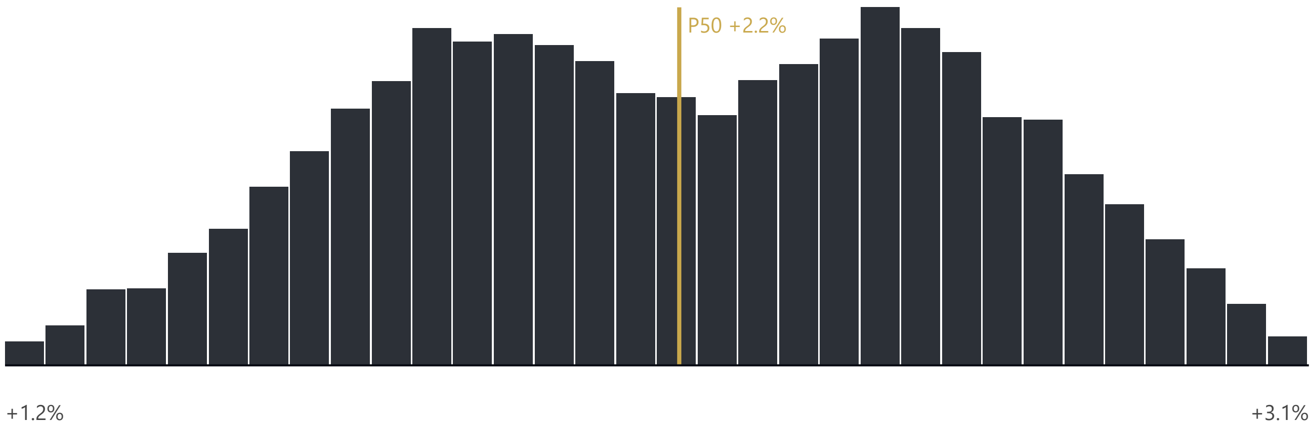
Incremental ROIC 8.6% vs WACC 12.0% — **returns below the cost of capital**.

> Accretive but value-destructive — EPS accretion is driven by P/E arbitrage, not economics.

6 · Risk Analysis

Probability of accretion by Year 2: 100% (P5: +1.5%, P95: +2.9%). Year-1: P5 -1.2% · P50 +0.2% · P95 +1.0%.

Year-2 accretion distribution (10,000 iterations)



Key risks

- Aluminium price cycle turns before synergy phase-in completes
- PSU workforce integration and government-approval timeline
- MPS sell-down obligation at high open-offer acceptance

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7 · Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies − after-tax new interest − after-tax foregone cash yield − after-tax incremental D&A − after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
- **Disclaimer:** Illustrative analysis on public data for portfolio demonstration. Precedent entries marked ILLUSTRATIVE are unverified. Not investment advice, not a solicitation, not a fairness opinion.

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